

Multiple Choice (10 marks)

1. For the perfectly competitive firm, the profit-maximizing decision to shut down is made when the price
 - (a) falls below minimum average total cost.
 - (b) is greater than minimum average variable cost, but lower than minimum average total cost.
 - (c) falls below minimum average variable cost.
 - (d) is equal to minimum average total cost.
2. An increase in the price level and a decrease in real GDP in the short run could be the result of
 - (a) a prolonged period of very bad weather.
 - (b) a decrease in the money supply.
 - (c) a decrease in consumer confidence.
 - (d) an increase in consumer confidence.
3. Which of the following is an example of capital as an economic resource?
 - (a) A cement mixer
 - (b) A barrel of crude oil
 - (c) A registered nurse
 - (d) A share of corporate stock
4. A balance of trade surplus can be the result of
 - (a) a loose monetary policy.
 - (b) foreigners having no taste for this country's products.
 - (c) an appreciation of the country's currency.
 - (d) low levels of income relative to other nations.
5. Depreciation of the dollar is most likely to
 - (a) increase imports
 - (b) increase travel abroad
 - (c) increase exports
 - (d) decrease a trade surplus

True / False (10 marks)

Answer True or False

6. True or False: When the cross-price elasticity of demand is negative, the goods are typically classified as substitutes.
7. True or False: When producers expect the price of good A to rise in the future, both the equilibrium price and quantity will increase.
8. True or False: Expansionary monetary policy typically causes Treasury bond prices to fall as the economy grows.
9. True or False: An increase in demand for exports and a decrease in foreign goods will cause the value of the dollar to tend to depreciate.
10. True or False: GDP measures a country's level of production and income.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how an increase in demand for goods produced by labor can impact the equilibrium wage in a competitive labor market. What factors contribute to this change?
12. Discuss the concept of transfer earnings in economics, and provide an example that illustrates this idea, explaining its significance in understanding labor compensation.

End of Paper